

PRELIMINARY - DRAFT

Auto Financing Strategy

SteerCo #3

21st July 2025



The 10 key messages from this project

- 1 **The auto finance retail market** is projected to **grow** at **~10% CAGR** from 2024 to 2030, reaching **170M€ RAR**, with a shift towards leasing that will account for **40% of total RAR**
- 2 **Eurobank is experiencing a ~10pp drop in market share** from 2021 to 2024, especially in used cars, a trend likely to continue without decisive action
- 3 **Dealers' interviews** reveal that **competitors offer better terms and B2B financing** to grow retail SoW, but confirm willingness to have ERB as main partner if more competitive
- 4 To defend and potentially expand its market share, the **vision** for Eurobank should be to **establish itself as the #1 "captive" bank for independent dealers**
- 5 There is a **potential growth** opportunity of **35-45M€ in additional RAR**, allowing Eurobank to reach **55-65M€ RAR by 2030** (~30% market share)
- 6 Eurobank should **first focus on fighting back competition**, increasing competitiveness on used car financing and redesigning B2B offering, **before future-proofing its business** by expanding into new segments (i.e., leasing) and channels (i.e., digital)
- 7 To fight back competition, **pivotal shifts** would be required: i) developing **repossession capabilities**; ii) **adapting** bank's car **risk appetite** and reflect it in credit policies.
- 8 **Repossession is the key enabler to adapt credit rules**, as the ability to collateralize the vehicle offsets the higher risk, allowing Eurobank to regain volumes in used car
- 9 To **future proof** its business, Eurobank should **enter the leasing market organically** by setting up a dedicated unit, given the **lack of viable targets**
- 10 The overall transformation could generate **+25-35M€ PBT in 2030** (x3 vs. today), with **~4-6M€ in IT investments**

Objectives of the meeting

- **Present overall business case**, including opex, capex, and ROI analysis
- Align on the **strategic narrative** for **used car segment**, with focus on **repossession** business case
- Present **decision made** on **C2C and B2C journey design** for **Car.gr**
- Agree on **next steps**

What we have built with your teams in 8 weeks

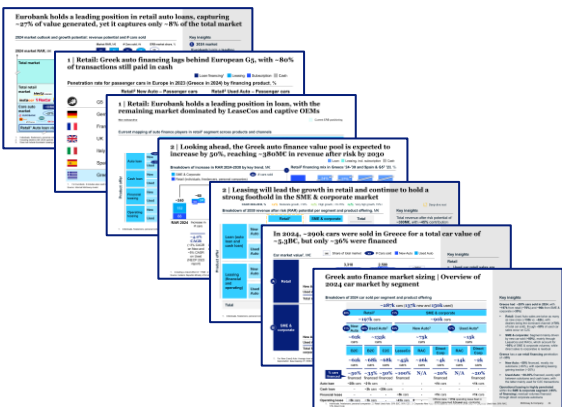
Focus of today



Greek market sizing and assessment of growth potential

Assessed Greek end-consumer and B2B market, competitive landscape and growth potential

Estimated the financing mix in the Greek market by 2030 and identified main growth pockets per segment, product and channel

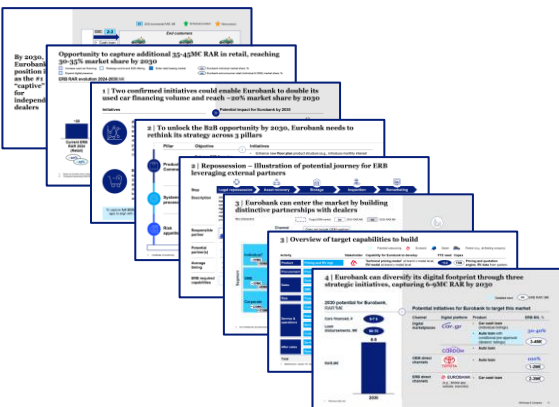


Strategy definition and assessment of “where to play” and “how to win”

Identified value creation opportunities, concrete initiatives and key operating model shifts (cross-enablers)

Detailed technical and operational capabilities required

Assessed development strategy (e.g., internal development vs. partnership) on key initiatives

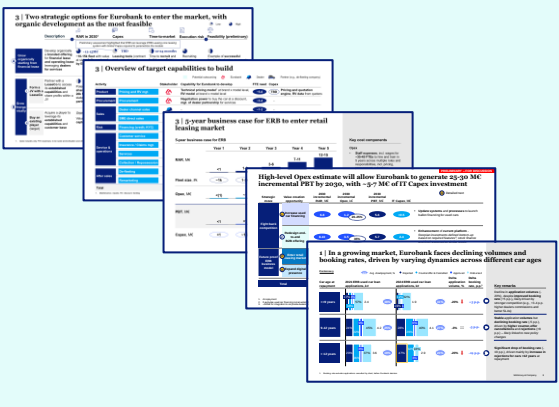


Business cases, including RAR, Opex, Profit before tax and Capex

Developed detailed business case with RAR estimation

Assessed Capex and Opex requirements for each value creation opportunity

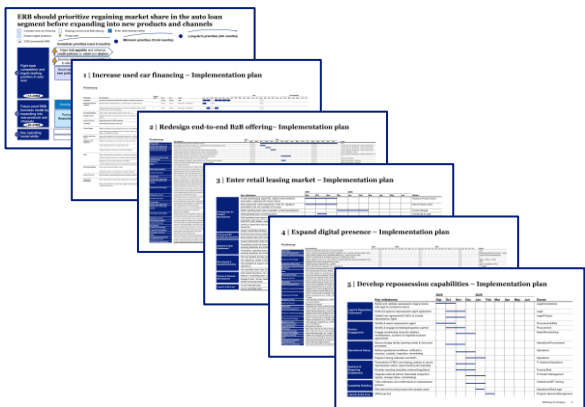
Derived 5-year return on investment for each value creation opportunity



2030 roadmap incl. definition of strategic moves for ERB and detailed implementation plans

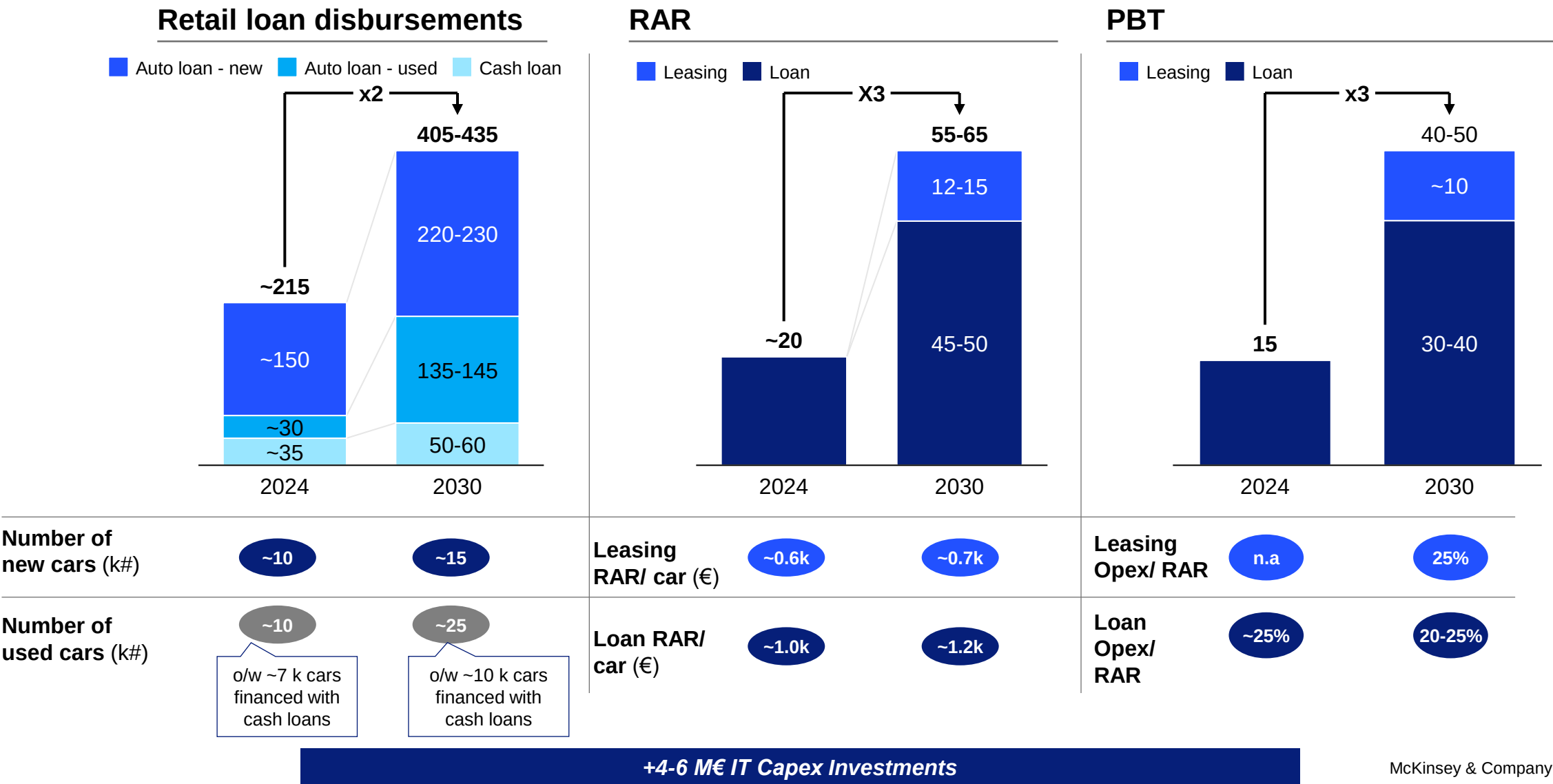
Developed 2030 roadmap and sequencing of initiatives across two strategic moves: fight-back competition, future proof ERB positioning

Developed detailed implementation plans for each value creation opportunity – *To be validated by initiatives owner and key stakeholders*



The overall transformation could generate +€25-35M PBT in 2030

Eurobank financials evolution, 2024-30 (€M)



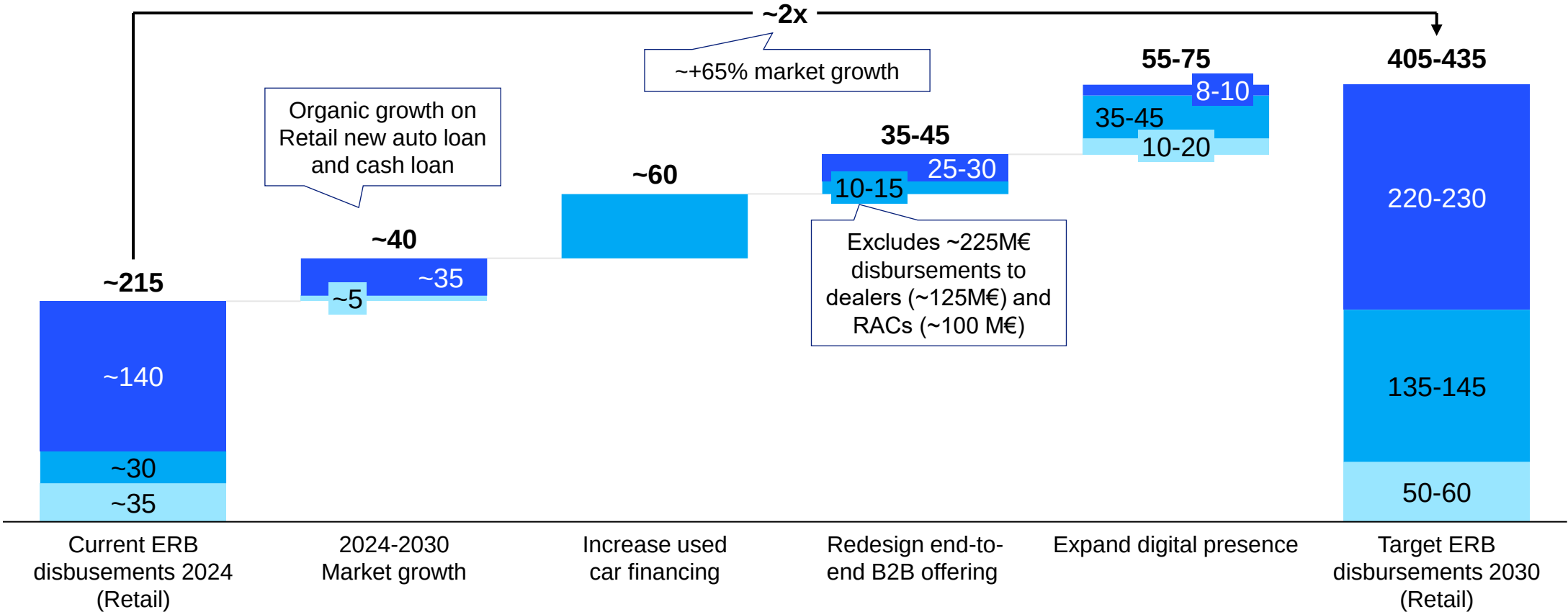
Deep dive on retail loan disbursements evolution

BACK-UP

ERB retail loan disbursements evolution 2024-2030, M€

xx Eurobank market share, %

Auto loan - new Auto loan - used 0



Market share, %
~30%

~35%

Business case per value creation opportunities

xx Detailed next

Strategic move	Value creation opportunity	2030 incremental RAR, M€	2030 incremental Opex, k€	2030 incremental PBT, M€	IT Capex, M€	
Fight back competition	1 Increase used car financing	6-8	1-2 20-25%	5-6	<0.5	• Update systems and processes to launch ballon financing for used cars
	2 Redesign end-to-end B2B offering	8-10	3-5 35-40%	~5	2-3	• Enhancement of current platform - floorplan investments defined bottom-up based on required features ² ; stock finance and RAC assumed at similar levels, considering internal platform development
Future proof ERB business model	3 Enter retail leasing market	12-15	35-45 additional FTEs 3-4 ~25%	9-11	~1	• Parametrization of operating lease module within ERB Leasing's existing core leasing system – Estimation made bottom-up with Eurobank leasing
	4 Expand digital presence	4-6 ¹	~1 ~15-20%	3-5	1-1.5	• ~0.4 M€ investment per digital platform (e.g., Toyota, Cardom, Car.gr) – Bottom-up estimation based on previous IT estimates
Total		35-45 Include 5€M organic growth on Retail new auto loan and cash loan	8-12 25-30% 20-25% without including B2B financing	25-35 Include 4€M organic growth on Retail new auto loan and cash loan	4-6	

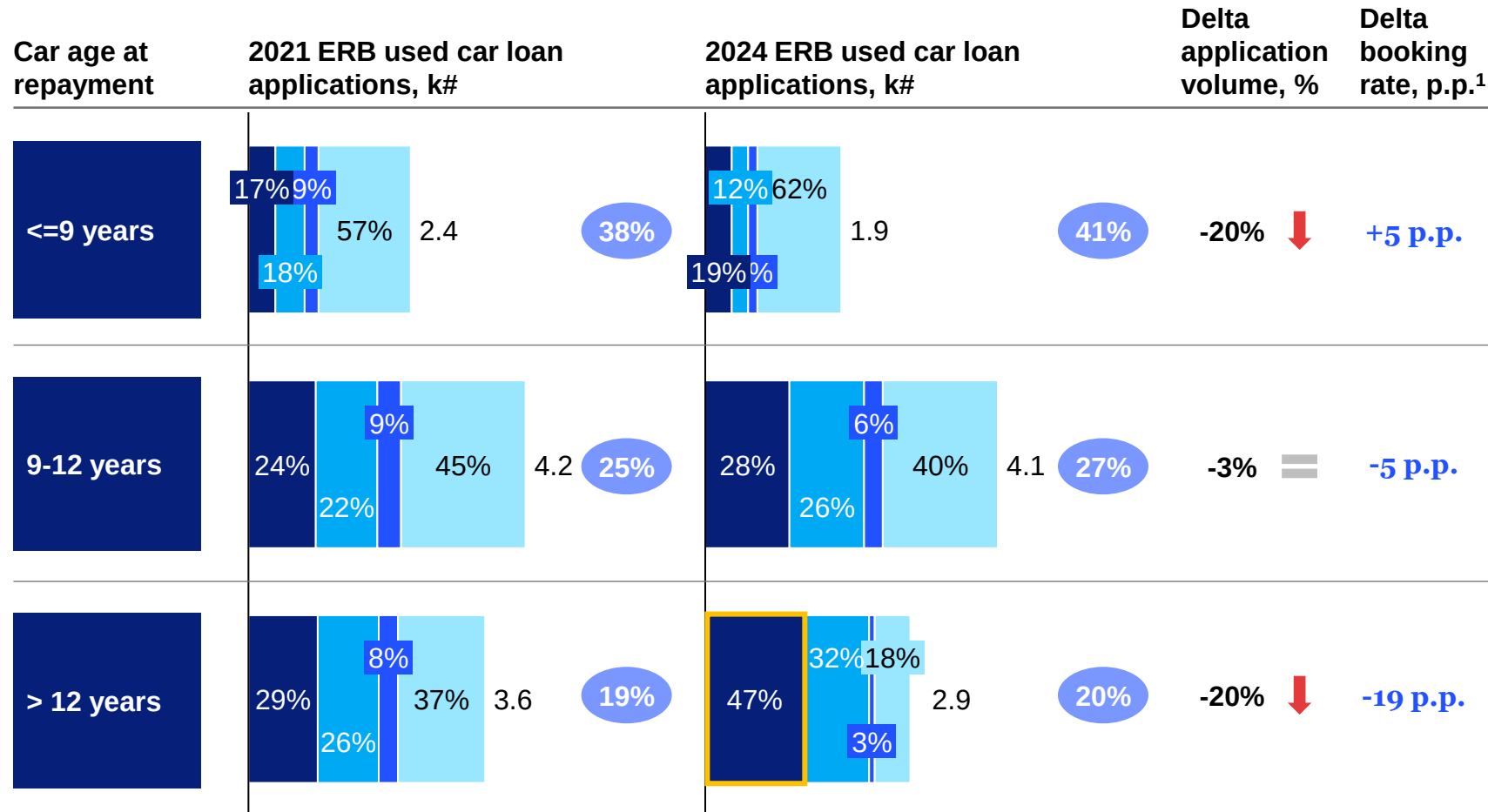
1. Includes 0.5-1 M€ of commissions to digital platforms (e.g., Car.gr)

2. ~500k€ for integration to corporate dealers, interest-free period, digital credit notice; ~500k for integration into Dealers' management systems (e.g., for inventory tracking)

1 | In a growing market, Eurobank faces declining volumes and booking rates, driven by varying dynamics across different car ages

Preliminary

xx Avg. downpayment, % Rejected Counteroffer & Cancelled Approved Disbursed



Key remarks

Decline in **application volumes** (-20%), despite **improved booking rate** (+5 p.p.), likely driven by stronger competition (e.g., +3-4 p.p. higher dealers commissions and better SLAs)

Stable application volumes but **declining booking rate** (-5 p.p.), driven by **higher counter-offer cancellations** and **rejections** (+8 p.p.) – likely linked to new policy changes

Significant drop of booking rate (-19 p.p.), driven mainly by **increase in rejections** for cars >12 years at repayment

1. Booking rate excludes applications cancelled by client, before Eurobank decision

1 | Six initiatives can be implemented to boost application volumes and improve booking rates for used cars

Non-exhaustive

Detailed next

Lever

Boost application volumes



Enhance booking rate



Potential initiatives

Target cars (age at repayment)

<9 years

>9 years

a Link retail used car financing with dealer stock financing with wholesale terms tied to retail disbursements



b Enhance SLAs (e.g., 1st response within 1-hour, real-time pre-approvals) to reduce applicant drop-off



c Launch ballon financing with no downpayment and lower rates vs. auto loans to increase affordability and appeal



d Evaluate review of dealers' commission model to drive higher application volumes for "younger cars"



e Review ERB risk appetite and rules of rejections, considering the trade-off between business growth and the potential impact on the Cost of Risk



f Leverage advanced analytics to identify ERB customers in "high conviction" zone for direct approval recommendations and potentially extend also to non-ERB customers

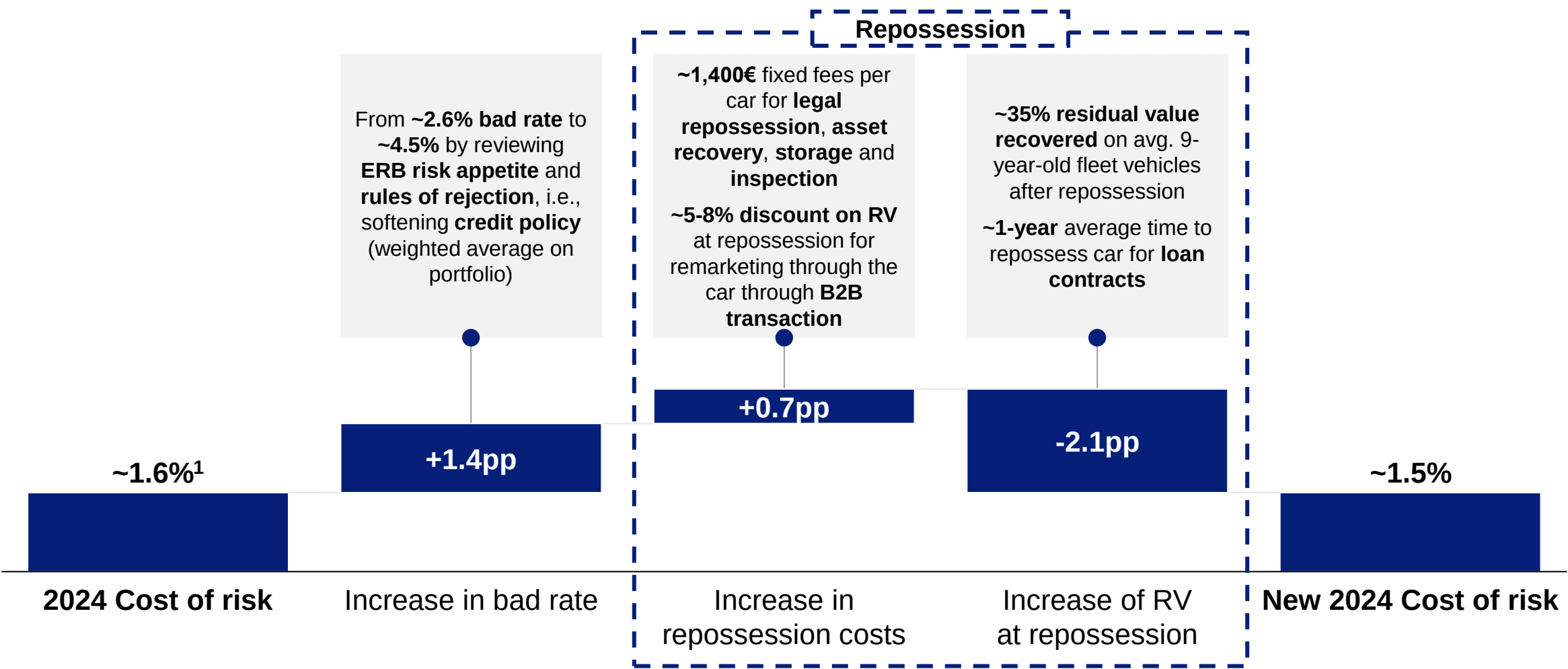


Establish repossession capabilities to allow loan collateralization and mitigate risk

Evaluate further **review of credit policy** with no mandatory downpayment based on car age

1 | Repossession is the key enabler to adapt credit rules, as the ability to collateralize the vehicle offsets the higher risk

Evolution of 2024 cost of risk for used cars, %



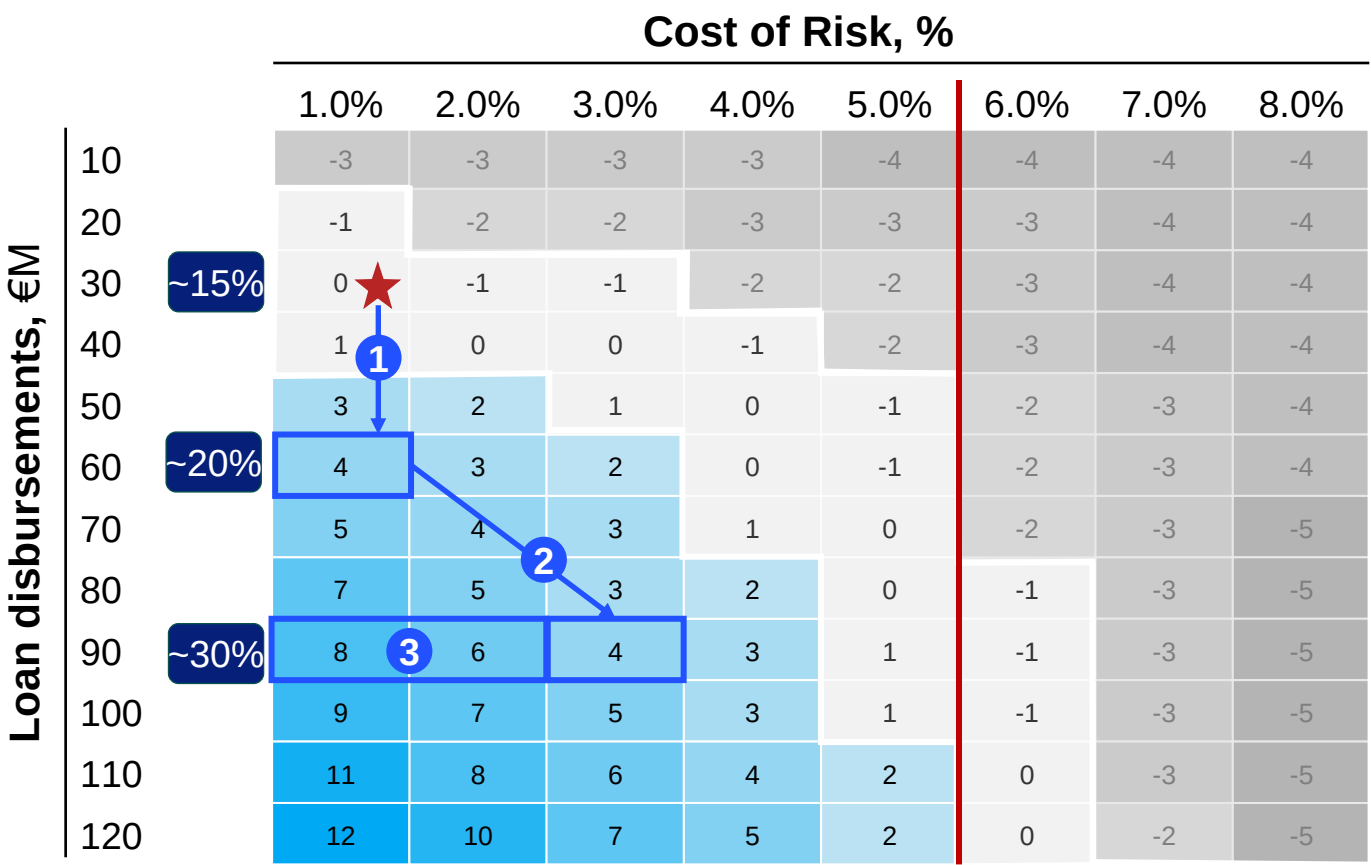
+2-3€M additional RAR in 2030 due to repossession, assuming ~30% residual value recovered for used cars, and ~50% for new cars

1. Cost of risk on 2023 loan disbursements for used cars with average vintage of 18 months

1 | +6-8 €M RAR thanks to enhanced booking rate and repossession capabilities

2024-30 incremental¹ RAR evolution, €M

 Strategic growth
 Neutral return
 Value erosion
 xx EBR MS,%
 ★ ERB current position (2024)



CoR would need to **increase 5x** for the **incremental business growth** to become unprofitable for Eurobank

Eurobank 2024-30 journey

1

Introducing **AA models** to ERB customers and launching **balloon financing**

Booking rate, %

45%

2

Reviewing ERB risk appetite to **reduce rejections** to ~20% and achieve **30% MS**

~60%

3

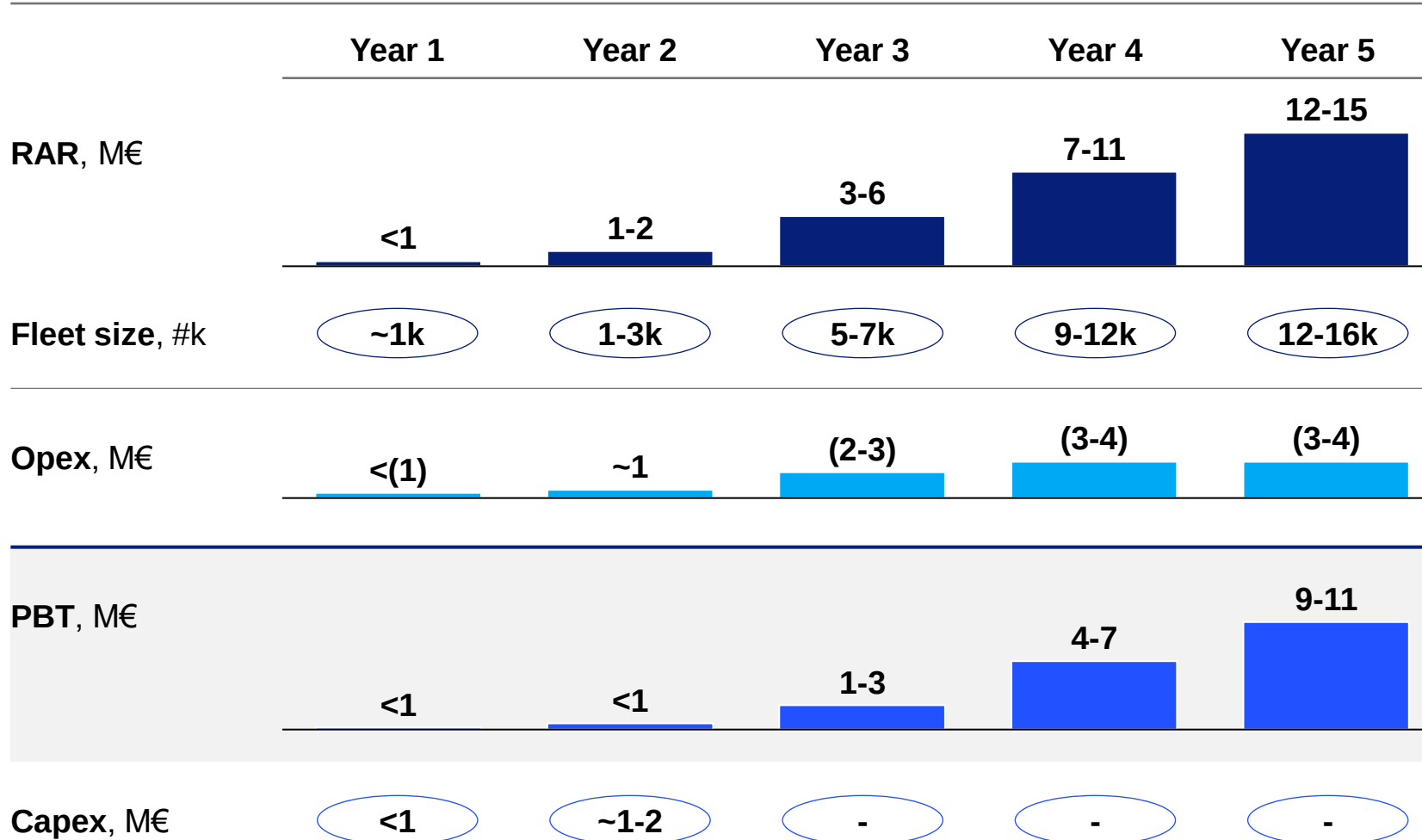
Establishing **repossession capabilities** to mitigate risk, while capturing **30% MS**

~60%

1. Incremental vs. ~4 M€ RAR generated in 2024 in the used car business, corresponding to ~30 M€ disbursements and ~3000 cars financed

3 | 5-year business case for ERB to enter retail leasing market

5-year business case for ERB



Key cost components

Opex

- **Staff expenses**, incl. wages for ~35-45 FTEs to hire and train in 5 years across multiple roles and responsibilities, incl. pricing, procurement, salesforce, customer service, remarketing
- **G&A expenses**, incl. pre-negotiated fixed fees with partners, legal fees for contracts
- **D&A expenses**, incl. amortization of software used for lease management

Capex (light to start)

- Purchase of **depreciation data from quoters** to integrate in pricing and RV modules
- Parametrization of an **operating lease module** within Eurobank Leasing's **existing core leasing system (CFMS)** – *interface already in place with the bank*

4 | Expand digital presence | Deep-dive on Car.gr customer journeys for Eurobank

Preliminary

Platform	Channel	Product	Customer journey	Outcomes	Pricing	No rationale for pricing variation vs. ERB cash loans, due to journey initiation on Car.gr
	C2C (i.e., individual listings)	Cash loan	E2E digital: leveraging current Eurobank digital cash loan underwriting process, after customer redirection from Car.gr	Approval, counter-offer or rejection (no difference vs. current cash loan underwriting process)	Differentiated based on customer profile , with preferential rates for ERB customers, starting from PB product pricing level	
	B2C (i.e., dealers' listings)	A Auto loan, with pre-approval	Hybrid: starting on Car.gr, followed by digital “full credit underwriting” on Eurobank (i.e., customer authenticated on Gov.gr for automatic retrieve of personal and financial data; downpayment and asset data prefilled via APIs) and finalization at the physical dealership	• Pre-approval (>80% of customers): - full pre-approval (i.e., customers meeting full credit underwriting requirements) - conditional pre-approval (i.e., remaining customers not flagged as “blacklisted”) • Hard rejections (i.e., “black-listed” customers)	Tailored to dealer's commercial terms	
		B Auto loan	E2E digital: starting on Car.gr, followed by fully digital credit underwriting on Eurobank	Approval, counter-offer or rejection (no different vs. current auto loan underwriting process)	Tailored to dealer's commercial terms	